

## Employee Benefits

| Lifecycle Phase | Regulatory & Policy Scope                                                         | Operational & Governance Activities                                                                                                         |
|-----------------|-----------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Discover</b> | ACA ALE determination, ERISA plan scoping                                         | Evaluate client size, full-time equivalent (FTE) count, multi-state employee dispersion, and existing plan documentation.                   |
| <b>Define</b>   | ERISA Master Plan Documents, MEP/PEP bylaws, SECURE 2.0                           | Establish fiduciary structures, eligibility standards (including Long-Term Part-Time rules), and Section 125 Cafeteria plan terms.          |
| <b>Design</b>   | ACA affordability safe harbors, CAA/TiC transparency rules                        | Model plan pricing structures, Machine-Readable File (MRF) disclosure protocols, and Mental Health Parity (MHPAEA) compliance workflows.    |
| <b>Develop</b>  | Carrier EDI standards (HIPAA 834), IRS § 105/125 Non-Discrimination Testing (NDT) | Program automated carrier integration feeds, FSA/HSA contribution limit validations, and pre-tax benefit logic.                             |
| <b>Deliver</b>  | DOL electronic disclosure rules, COBRA initial notices                            | Distribute Summary Plan Descriptions (SPDs), Summaries of Benefits and Coverage (SBCs), and execute open enrollment self-service workflows. |
| <b>Run</b>      | IRS Form 5500, Form 1094-C/1095-C, ACA employer mandate enforcement               | Conduct annual NDT testing, generate IRS ACA filings, process Qualifying Life Events (QLEs), and manage ongoing COBRA premium billing.      |

## Payroll & Tax Administration

| Lifecycle Phase | Regulatory & Policy Scope                                                                | Operational & Governance Activities                                                                                                     |
|-----------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Discover</b> | Multi-state tax nexus, state unemployment (SUTA) experience transfer                     | Audit client worksite jurisdictions, remote employee locations, and statutory payroll tax liability baselines.                          |
| <b>Define</b>   | IRS Certified PEO (IRC § 7705), FLSA salary basis thresholds                             | Establish statutory tax allocation matrices, state/local minimum wage baselines, and pay frequency policies.                            |
| <b>Design</b>   | Gross-to-net logic, state paid family/medical leave (PFML) payroll withholdings          | Architect tax calculation rules for multi-state wage bases, reciprocal tax agreements, and local payroll tax ordinances.                |
| <b>Develop</b>  | Overtime calculation engines (FLSA, CA daily OT, NV 24-hr rules), garnishment priorities | Build automated overtime calculation logic, tip credit accounting, and court-ordered garnishment calculation engines.                   |
| <b>Deliver</b>  | State wage theft prevention acts, direct deposit mandates                                | Generate compliant paystubs with statutory itemizations (e.g., accrued sick leave, gross/net hours), and distribute wage notices.       |
| <b>Run</b>      | Federal Form 941, annual W-2/1099-MISC/NEC, quarterly CPEO attestations                  | Remit federal, state, and local payroll taxes, file quarterly tax returns, maintain surety bonds, and manage final pay upon separation. |

## HR Compliance & Risk Management

| <b>Lifecycle Phase</b> | <b>Regulatory &amp; Policy Scope</b>                                                         | <b>Operational &amp; Governance Activities</b>                                                                                     |
|------------------------|----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>Discover</b>        | Workers' comp class codes, OSHA high-hazard coverage                                         | Audit client industry risk, National Council on Compensation Insurance (NCCI) codes, and safety compliance baselines.              |
| <b>Define</b>          | OSHA written safety plans, Cal/OSHA SB 553 (Workplace Violence), state paid sick leave (PSL) | Formalize Master Safety Programs, Workplace Violence Prevention Plans (WVPP), and statutory leave accrual schedules.               |
| <b>Design</b>          | ADA interactive process, PWFA, PUMP Act                                                      | Design structured accommodation evaluation workflows, lactation accommodation policies, and return-to-work programs.               |
| <b>Develop</b>         | Digital First Notice of Loss (FNOL), mandatory labor law e-posting engines                   | Program injury incident workflows, workers' comp claims intake systems, and jurisdictional leave coordination logic (FMLA + PFML). |
| <b>Deliver</b>         | OSHA hazard communication, client risk safety manuals                                        | Distribute required federal/state/local workplace compliance posters and deliver specialized workplace safety guidelines.          |
| <b>Run</b>             | OSHA Form 300/300A/301 electronic reporting (ITA), master workers' comp policy management    | Conduct annual OSHA log certification and submission, perform client loss-control audits, and manage ongoing liability claims.     |

## Talent Management & Development

| Lifecycle Phase | Regulatory & Policy Scope                                                        | Operational & Governance Activities                                                                                                       |
|-----------------|----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Discover</b> | EEOC Uniform Guidelines on Employee Selection Procedures                         | Assess client hiring workflows, sourcing channels, and historical workforce demographic representations.                                  |
| <b>Define</b>   | State pay transparency laws (e.g., CA, CO, NY, MA), FLSA exemption criteria      | Define standardized job descriptions with required salary ranges, duties tests, and non-discriminatory hiring rubrics.                    |
| <b>Design</b>   | Automated Employment Decision Tools (AEDT) laws (e.g., NYC Local Law 144)        | Design AI bias audit procedures, candidate notice workflows, and standardized performance appraisal criteria.                             |
| <b>Develop</b>  | FCRA-compliant background check pipelines, LMS statutory training modules        | Integrate background check consent and pre-adverse/adverse action workflows with statutory sexual harassment training tracks.             |
| <b>Deliver</b>  | Form I-9 / E-Verify employment verification, wage history ban policies           | Execute digital I-9 verification, distribute wage theft notices, and deploy mandatory supervisor/employee compliance training.            |
| <b>Run</b>      | Federal EEO-1 Component 1, state pay data reporting (e.g., CA CRD, IL Equal Pay) | Aggregate multi-client workforce compensation/demographic data, submit annual statutory filings, and track mandatory training completion. |

## HR Technology

| Lifecycle Phase | Regulatory & Policy Scope                                                                  | Operational & Governance Activities                                                                                                   |
|-----------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| <b>Discover</b> | Multi-tenant system boundaries, data sovereignty, PEO Client Allocation Matrix             | Inventory client data flows, identify cross-system data dependencies (HRIS, payroll, benefits), and map statutory liabilities.        |
| <b>Define</b>   | SOC 1 (SSAE 18), SOC 2 (Security/Confidentiality/Availability), HIPAA Security Rule        | Formulate data classification rules (PII, PHI, financial), access governance baselines, and multi-tenant security requirements.       |
| <b>Design</b>   | Data privacy statutes (CCPA/CPRA, state privacy acts), Role-Based Access Control (RBAC)    | Architect tenant data isolation models, immutable audit log structures, automated encryption schemas, and consent tracking modules.   |
| <b>Develop</b>  | Policy Enforcement Points (PEPs), Zero-Trust API gateways                                  | Build secure multi-tenant data pipelines, data minimization algorithms, automated masking/tokenization, and secure SSO/MFA endpoints. |
| <b>Deliver</b>  | NIST 800-53 security controls, system authorization agreements                             | Deploy secure self-service portals, deliver privacy disclosures, and execute administrative onboarding with role assignment.          |
| <b>Run</b>      | Continuous SOC 1 Type II / SOC 2 Type II attestations, vulnerability & penetration testing | Perform continuous access reviews, monitor API security logs, execute data retention/destruction schedules, and manage DR/BCP audits. |